

LEAN PATCH

Start-ups will see more flat or down rounds in 2023 as investors re-evaluate their portfolios

BY **BINU PAUL**

► **INDIAN START-UPS ARE**

bracing for lean times as the industry moves further into 2023. With investors now focussed on profitability while pinching their pennies, late-stage start-ups will experience more flat or down rounds in the days ahead, states a report by Bain & Company. The industry might also see an uptick in mergers and acquisitions (M&As) in some sectors, the report adds.

After a stellar year in 2021, venture capital deal value dropped last year—from \$38.5 billion to \$25.7 billion—amid a global slowdown. This year, too, with the challenging funding environment, investors are expected to re-evaluate their portfolios and save capital. This, according to the India Venture Capital Report 2023, may lead to consolidation, es-

pecially in the fintech and B2B e-commerce (house of brands) sectors. Public market exits (IPOs) of tech start-ups are also anticipated to remain muted throughout the year.

“Overall, there is a lot of dry powder left in the market, so capital is not a challenge; it is the allocation. Investors will back businesses that are positive at gross contribution level and start-ups will push for that,” says Abhishek Agarwal, Founder and Managing Partner at Rockstud Capital, an alternative asset management firm. Overall, it is going to be a “mixed year”. “I do expect some casualties, but businesses that are profitable or have inherent capabilities to be profitable will gain investor confidence,” he adds. **BT**

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► **WITH AN ESTIMATED 20-25**

LION paying subscribers of Disney+ Hotstar expected to migrate to Reliance Industries-backed JioCinema to watch the Indian Premier League (IPL) cricket tournament for free, the country's already small \$668-million subscription-video-on-demand (SVOD) streaming market might get dented further, even as price-sensitive Indian users were getting used to paying for content.

Reliance-backed Viacom18, which bagged the digital streaming rights of the marquee cricket property for the 2023-27 cycle beating Disney+ Hotstar, will stream the two-month-long tournament starting on March 31 for free. On Disney+ Hotstar, subscribers had to pay ₹1,499 for an annual subscription that included the IPL.

“If IPL, the most expensive property, is being offered for free, it's a further boost to the AVOD (advertising-based video-on-demand) market and a negative impact for the SVOD market because customers were just getting used to shelling

